

Coimisiún na Scrúduithe Stáit
State Examinations Commission

Leaving Certificate Examination 2021

Business

Section 2
Ordinary Level

Thursday 17 June Morning 9:30 – 12:00

Candidates are required to answer:

Three questions from **Section 2** as follows:

One question from **Part 1**

One question from **Part 2**

And **One** other question from either **Part 1** or **Part 2**

All questions in Section 2 carry equal marks.

Do not hand this up

The 2021 examination papers were adjusted to compensate for disruptions to learning due to COVID-19. This examination paper does not necessarily reflect the same structure and format as the examination papers of past or subsequent years.

Section 2 — 225 marks

Write your answers in the Answerbook containing **Section 1**

Answer **three** questions from SECTION 2 as follows:

One question from **Part 1**,

One question from **Part 2**,

AND One other question from either **Part 1** or **Part 2.**

All questions carry 75 marks.

Part 1

Question 1 — **People in Business**

Read the information supplied and answer the questions which follow.

CONSUMER LAW

Consumers in Ireland are protected by a number of different laws. The CCPC is responsible for ensuring all consumer laws' are implemented by businesses and they protect consumers rights. The Sale of Goods and Supply of Services Act, 1980, outlines consumers rights and retailers' responsibilities in relation to goods and services.

(A) **(i)** What do the letters CCPC stand for?

(ii) Name the other consumer law which the CCPC enforces. (10)

(B) Explain, using examples, the following provisions of the Sale of Goods and Supply of Services Act, 1980:

(i) Goods must be of merchantable quality

(ii) Goods must be fit for purpose

(iii) If a consumer purchases a faulty product who is responsible? (20)

(C) Outline **two** forms of remedy/redress that consumers are entitled to if any provisions of the Sale of Goods and Supply of Services Act, 1980 are broken. (15)

'Unofficial strike causes severe disruption to bus services in Limerick'

Newstalk, Oct 2020

(D) Describe any **two** functions of a trade union. (15)

(E) Explain the process employees must engage in to hold an 'official strike', as set out in the Industrial Relations Act, 1990. (15)

Question 2 **Domestic Environment**

Read the information supplied and answer the questions which follow.

Janet and Michael O'Donnell are considering using a franchise method to expand their business. They operate an artisan burger bar, where all food is made freshly by Michael every day. The business thrived during the last year and they can see potential in franchising the idea.



(A) Explain the term **franchise** as a form of business ownership. (10)

(B) Name **two** other businesses in Ireland which operate as franchises. (10)

(C) Outline **one** advantage and **one** disadvantage for Janet and Michael if they decide to franchise out their business. (15)

Hospitality industry welcomes the reduction of VAT to 9%

Budget 2021 saw a decrease in the VAT rate for the hospitality and tourism industries from 13.5% to 9% until December 2021. Adapted from the Irish Examiner

(D) **(i)** Name the sector of the economy in which the hospitality and tourism industries operate.

(ii) Explain the other **two** sectors of the economy and give **one** example of an industry in each sector. (25)

(E) Outline **one** impact the reduction in the VAT rate will have on **each** of the following:

- Tourism and hospitality industries
- Government Current Income. (15)

Question 3	**International Environment**

Read the information supplied and answer the questions which follow.

International Accounts Q2 2020 Ireland's economic interactions with the rest of the world		
Goods		**Services**
Exports €56bn		Exports €52bn
Imports €23bn		Imports €53bn

An Phríomh-Oifig Staidrimh Central Statistics Office

(A) **(i)** Using the information above, calculate the **Balance of Payments** for Q2 2020. **Show your workings.**

(ii) State whether it is a surplus or a deficit. (20)

(B) Explain **two** reasons why international trade is important for Ireland. (15)

Brexit is having a major impact on Irish business. Consumers and business are now faced with tariffs when buying and selling goods. Some multinational companies, however, are relocating to Ireland because of Brexit.



(C) A tariff is used as a barrier to trade. Explain the term **tariff** and name **one** other barrier to trade. (15)

(D) Explain the term **multinational company** (MNC). (10)

(E) Outline **two** reasons why multinational companies might relocate to Ireland, following Brexit. (15)

Question 4 **People in Business**

Read the information supplied and answer the questions which follow.

Debenhams workers participate in a national strike outside 11 stores in Ireland

Adapted from the Irish Examiner

(A) Explain **two** benefits to an employee of being a member of a trade union. (15)

(B) State **one** example of a trade union in Ireland. (10)

(C) Outline **two** effects of industrial disputes. (15)

(D) Outline **two** functions of a shop steward. (15)

(E) Explain, giving **two** reasons, why the advertisement below is unlawful under the Employment Equality Acts, 1998-2015. (20)

Child Care Assistant required for busy Crèche.
Full time.
Female applicants only.
Applicants must be Irish and speak fluent English.

Email your CV to: info@daisycrèche.ie



Part 2

Question 5 **Enterprising**

Read the information supplied and answer the questions which follow.



Buymie was founded in 2015 by Devan Hughes and Artavazd Soyhikyan as a mobile app for same-day grocery delivery. The app allows customers to shop for groceries in major retailers such as Tesco, Lidl and Dunnes. They hired an additional 200 personal shoppers and drivers due to increased demand.

(A) Outline **three** entrepreneurial characteristics/skills associated with entrepreneurs like Devan and Artavazd. (15)

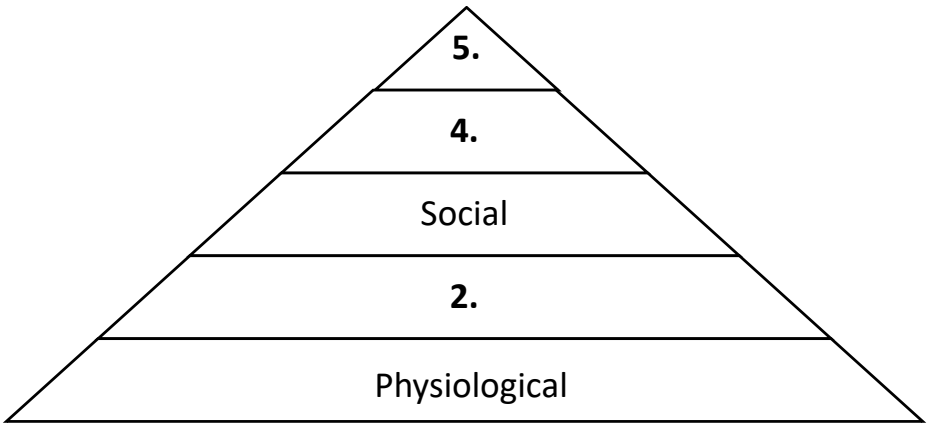
(B) Explain **two** ways in which Information & Communication Technology (ICT) can assist a business. (15)

Tesco Ireland Ltd increased their employees pay by 10% as an acknowledgement of their hard work during the difficult times of 2020 and 2021.

(C) Outline **two** benefits to a business of motivating employees. (15)

(D) **(i)** Maslow's Hierarchy of Needs pyramid is presented below.
List the missing levels 2, 4 and 5.

(ii) Explain an initiative Tesco could introduce to try and satisfy their employees **social** needs at level 3. (20)



(E) Explain the **democratic style of leadership** sometimes used by Tesco when making decisions. (10)

Question 6 **Business in Action**

Read the information supplied and answer the questions which follow.

DUNMACKEY HOUSE HOTEL

Dunmackey House Hotel has struggled to remain open over the past year. Aideen McNally, the Human Resource Manager, had to make seven staff redundant during this time. Aideen did not like this aspect of manpower planning and hopes they will be able to re-hire staff in the future. All staff were paid redundancy based on six weeks' pay per year of service.

(A) Explain **three** methods, other than wages, of rewarding employees. (15)

(B) Outline **two** functions, other than manpower planning, which are part of a Human Resource Manager's job. (20)



Tom Delaney earned €490 per week in the Hotel and worked there for 11 years. He decided to use his redundancy package to purchase a van and provide a delivery service for the local retailers in Dunmackey who were relying on online/phone in sales for survival. He needed to purchase motor insurance for business use on the van and was hoping his premium would not be too high.

(C) Calculate Tom's redundancy package from Dunmackey House Hotel. (10)

(D) **(i)** Name **and** explain one type of motor insurance Tom could purchase.

(ii) Name **one** factor which might impact on a motor insurance premium. (15)

(E) Tom must adhere to the principles of **Utmost Good Faith**, **Indemnity and Insurable Interest**. Explain **two** of these principles. (15)

Question 7 **Managing**

Read the information supplied and answer the questions which follow.

Eden Hills Golf Club

Eden Hills Golf Club is a very popular course in the sunny South East of Ireland. It has a top-class course, with a bar that supplies bar food. They want to expand the club house to include a function room, to hold bigger events in the future. The golf club has no money saved and sees this as a long-term investment. The Finance Committee is currently producing a business plan and a Zoom meeting of all club members has been called.

Cashflow Forecast Eden Hills Golf Club Ltd for the first 3 months of 2022				
2022	January	February	March	Total
	€	**€**	**€**	**€**
Total Receipts (A)	13,000	14,000	25,000	52,000
Total Payments (B)	21,000	15,000	13,000	49,000
Net Cash (A-B)	-8,000	-1,000	12,000	3,000
Opening Cash	2,000	-6,000	-7,000	2,000
Closing Cash	-6,000	-7,000	5,000	5,000

(A) Name **one** item Eden Hills Golf Club might include in their cashflow forecast under each of the following sections:

(i) Receipts section

(ii) Payments section. (10)

(B) **(i)** Does Eden Hills Golf Club have a better cashflow position in January or March?

(ii) Outline **two** possible reasons for your answer**.** (20)

(C) Outline **two** advantages of meetings as a method of communication. (15)

(D) Explain **two** sources of long term finance Eden Hills Golf Club could use to expand its business. (15)

(E) Outline **two** benefits of preparing a business plan. (15)



Question 8 **Business in Action**

Read the information supplied and answer the questions which follow.



Cadbury has launched its latest products.

The stages of the new product development process included Idea Generation, Product Screening and Feasibility Study. Cadbury also engaged in test marketing.

(A) Explain **two** of the underlined terms above. (15)

(B) Outline **two** methods of field research that Cadbury may have used as part of its test marketing stage. (15)

Cadbury bars are manufactured using mass production. The bars are wrapped using packaging with the distinctive purple Cadbury colour.



(C) **(i)** Explain the term **mass production**.

(ii) Name and explain **two** other methods of production. (20)

(D) Illustrate, using a diagram, the **channel of distribution** Cadbury might use to distribute their chocolate bars. (10)

(E) Outline **two** functions of product packaging. (15)

Question 9 **Business in Action**

Read the information supplied and answer the questions which follow.



The Ryan family have operated their hardware and DIY store for over 60 years on the outskirts of Limerick city. They had a high sales turnover in 2020, due to the large amount of people renovating their homes. However, a large DIY chain store has recently opened in the nearby retail park. The Ryan's are concerned that they may lose some of their customers to this new chain store, despite building a good name over 60 years.

(A) Outline **two** reasons why a good brand name is important to a business like the Ryan's. (15)

(B) Outline **three** factors the Ryan's must consider before setting prices for their products. (20)

(C) **(i)** Explain the term **sales promotion**.
(ii) List **three** methods of sales promotion the Ryan's could use to compete with the larger chain store. (20)

(D) List **two** reasons why businesses expand. (10)

(E) Explain the difference between a **merger** and a **takeover**. (10)

There is no examination material on this page

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